



*771169 / \$688⁰⁰
(\$2,345⁰⁰)

ANNUAL REPORT

RECEIVED

SEP 11 2000

Division of Minerals and Geology

PERMITTEE NAME: **Southdown, Inc.**

PERMIT NO.: **M-1977-341**

OPERATION NAME: **Larimer County Quarry**

ANNIVERSARY DATE: **September 8, 2000**

ANNUAL FEE DUE ON ANNIVERSARY DATE: **\$688.00**

COUNTY: **Larimer**

According to C.R.S. 34-32-116(3)(a), each year, on the anniversary date of the permit, an operator shall submit the annual fee, a report and map showing the extent of current disturbances to affected land, reclamation accomplished to date and during the preceding year, new disturbances that are anticipated to occur during the upcoming year, reclamation that will be performed during the coming year, the dates for the beginning of active operations, and the date active operations ceased for the year, if any.

Please attach your revised annual report map and written report to this annual report. *Please note that an adequately labeled map that clearly delineates and includes the above elements may suffice for a written report.*

Please type or print the current contact person's name, mailing address, and phone number in the space provided:

Contact Name: John Lohr

Company: Southdown Inc.

Address: 5134 Ute Highway

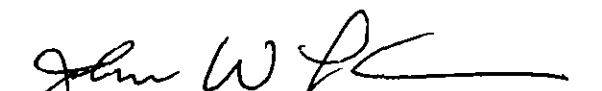
Phone No.: (303) 823-2109

Lyons, CO 80540

FAX No.: (303-) 823-2199

e-mail: _____

If there are additional comments and/or information that should be provided to the Division, please provide it on a separate sheet and attach it to this report form along with your map and/or written report.


Signature of Corporate Officer, or Owner

9-8-00
Date

INSTRUCTIONS ON BACK

ANNUAL REPORT INSTRUCTIONS

According to C.R.S. 34-32-116(3), and C.R.S. 34-32.5-116(3)(a), on the anniversary date of the permit each year, the operator shall submit a report and a map showing the extent of current disturbances to affected land, reclamation accomplished to date and during the preceding year, new disturbances that are anticipated to occur during the upcoming year, and reclamation that will be performed during the upcoming year. Please attach such a report and map to enclosed annual report form. (An adequately labeled map that clearly delineates and includes the above elements may suffice for a written report.)

If your operation is subject to the provisions of Temporary Cessation as defined in the Act and Rules, you must provide with the Annual Report the following information as required by 2 CCR 407-1, 407-4, and Rules 1.13.7(1)(a):

- (i) the condition of the operation at the time of cessation;
- (ii) what specific measures have been and will be implemented to comply with reclamation, performance standards and Environmental Protection Plan requirements, if they are part of your approved application; and
- (iii) plans for resumption of mining operations.

Please provide the additional following information with your Annual Report, as applicable:

(a) Per the requirements of 2 CCR 407-1, 407-4, and Rules 1.15(1), provide an updated statement regarding the sufficiency of the value of the Financial Warranty, specifically:

- (i) Per the requirements of 2 CCR 407-1, 407-4, and Rules 1.15(1)(a), provide an updated statement regarding the sufficiency of the value of the financial warranty. Specifically, irrevocable letters of credit, Deeds of Trust, and security agreements, self-insurance, salvage credit, and first priority liens on project related fixtures.

- (ii) Per the requirements of 2 CCR 407-1, 407-4, and Rules 1.15(1)(b), permits secured with a Deed of Trust or a Security Agreement, the operator shall submit an update, by a qualified independent appraiser, indicating any changes in property value, and a statement summarizing any circumstances which may affect the adequacy of the Deed of Trust, or Security agreement, ~~and the value of the property subject to either of these instruments.~~ The report shall also provide proof that there are no past-due property taxes.

- (i) Per the requirements of 2 CCR 407-1, 407-4, and Rules 4.7(3), permits secured with an Irrevocable Letter of Credit, the operator shall have the bank provide documentation in the form of a balance sheet, certified by a Certified Public Accountant, demonstrating that the Letter of Credit does not exceed ten percent (10%) of the bank's capital surplus accounts.

- (ii) Per the requirements of 2 CCR 407-1, 407-4, and Rules 4.9.3(c), permits secured by a First Priority Lien on any fixtures and Equipment, the operator shall provide a report in sufficient detail to fully describe the condition, value, and location of all pledged fixtures and equipment.

(b) Per the requirements of 2 CCR 407-1, 407-4, and Rules 1.15(1)(c), all monitoring information required as part of the approved permit application, to include the Environmental Protection Plan. (Please note that if you are not a Designated Mining Operation, you will not have an Environmental Protection Plan as part of your approved permit.)

Colorado Division of Minerals & Geology

1313 Sherman Street, Room 215
Denver, CO 80203

Sales Receipt

DATE	SALE NO.
9/12/2000	3455

SOLD TO
Southdown, Inc.

CHECK# / CASH
771169

DESCRIPTION	NOTE	AMOUNT
Min: Annual Fee	M-77-208	2,345.00
Min: Annual Fee	M-77-341 ✓	0.00
Min: Annual Fee	M-77-361	0.00
Min: Annual Fee	M-93-041	0.00

Total	\$2,345.00
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ANNUAL RECLAMATION REPORT

PARISH QUARRY, LARIMER COUNTY, COLORADO PERMIT NO. M-77-341 1999-2000

The purpose of this report is to comply with the Mined Land Reclamation Act of 1976, Statute 34-32-112 of House Bill No. 1065. This report follows the requirements covering annual reports in the Rules and Regulations of Colorado Mined Land Reclamation Board, Section 2.4. The permit for the Larimer County Quarry was issued on June 4, 1978 and amended on September 25, 1987 to include the Parrish Quarry.

Reclamation is complete for the Parrish Quarry. The reclaimed areas have been seeded with a dry land pasture mix which includes:

- 39% winter rye
- 13% ranger alfalfa
- 9% smooth brome
- 8% intermediate wheat grass
- 7% slender wheat grass
- 8% Nordan crested wheat grass
- 6% Russian wild rice
- 10% Jose tall wheat grass

All areas are experiencing growth but have not been released from bond to date.

THERE HAVE BEEN NO CHANGES FROM THE LAST REPORT, THEREFORE, NO MAP IS INCLUDED WITH THIS REPORT.